the pan. There are logical reasons why momentum works—and, in fact, there are plenty of them.

Some of those reasons may, at this point, seem obscure and vague. There is a recommended reading list at the end of the book for those who would like to explore behavioral finance in more detail.[2] Keep in mind that when someone asked Richard Thaler about the choice between accepting the idea of efficient markets or behavioral finance, his response was, “It’s a choice between being precisely wrong or vaguely right.”[3]

If you accept the behavioral basis for momentum, you should be glad that behavioral biases are firmly grounded in our psychological makeup and physiology. This makes it unlikely that they will change in the future. You might also take comfort in the idea that momentum lets us profit from human behavioral biases instead of being subject to them in adverse ways.

Now that we have these theoretical underpinnings out of the way, it is time to move on to matters that are more practical. We will next look at potential assets we might include in our momentum portfolio.